

Starbucks Q1 2026 Earnings

Blind Sentiment & Directional Score: Financial results only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases BEFORE the market open. The overnight move is defined as $(\text{release-day Open} \div \text{prior-trading-day Close}) - 1$, the same reaction window shifted because the release lands before trading starts.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Financial results only** as the ONLY report content. The other sections (forward guidance, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Starbucks Corporation (SBUX)
Report	Fiscal Q1 2026 (December quarter)
Release date	Wednesday 28 January 2026, BEFORE the market open
Earnings call	8:00am ET
Source	Motley Fool transcript
Read mode	cold; reported financial results only, no guidance, no Q&A, no price chart
Time to produce	35 minutes

Source material (read ONLY this)

Headline financials (assigned source: financial results only)

- Global revenue \$9.9B, up 5%. Global comparable store sales up 4%.
- North America \$7.3B, up 3%; US company-operated comps up 4%, transactions up 3% and ticket up 1%.

- International \$2.1B, up 10%; international comps up 5%. China comps up 7%, a third consecutive positive quarter, with transactions up 5%.
- Operating margin 10.1%, down 180 basis points year over year. EPS \$0.56, down 19%.
- Starbucks Rewards 90-day active members 35.5M, up 3%.

Your scoring: fill in below, then seal

1 Sentiment score

Score: −0.45

Rationale. Comps up 4% with positive transactions, but operating margin down 180bps and EPS down 19%: the P&L is deteriorating even as traffic recovers.

2 Directional signal

Signal: SELL

Rationale. Markets grade the earnings line, and it fell 19%. SELL.

3 Structured summary

- **What the source shows.** Traffic works: US transactions up 3%, China comps up 7%.
- **What the source cannot show.** No guide or Q&A, so cannot tell whether the margin hit is peak investment or the new run-rate.
- **Expectations bar.** A 19% EPS decline misses most bars regardless of the comp.
- **Conviction.** Moderate-high conviction: the margin and EPS arithmetic is unambiguous here.

4 Evidence quotes

1. Global revenue \$9.9B, up 5%. Global comparable store sales up 4%.
2. North America \$7.3B, up 3%; US company-operated comps up 4%, transactions up 3% and ticket up 1%.
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— SEALED —

Overnight move and call verification

SBUX close, 27 January 2026 (prior trading day)	\$95.72
SBUX open, 28 January 2026 (release day)	\$102.30
Overnight move	+6.87%

Call verification

- HOLD band test: $|+6.87\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is positive, so the correct directional call is **BUY**.

- Score given vs. correct call: signal was **SELL**, correct call **BUY**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+ 6.87%
D+1 close	−0.59%
D+3 close	−3.94%
D+5 close	−2.80%
D+10 close	+1.89%
D+20 close	+2.31%